

DAILY BIAS

A Complete Guide.



What is Daily Bias?

The Daily Bias is your roadmap. It tells you where price is likely to go for the day.

Without it, you're just guessing.

But with IRL & ERL, you gain the skill to anticipate price movements.

Here's the foundation:



Price ALWAYS does 1 of 2 things:

Seeks Liquidity (ERL - External Range Liquidity)

Offers Fair Value (IRL - Internal Range Liquidity)

INTERNAL AND EXTERNAL LIQUIDITY

Internal Range Liquidity (IRL) is defined by Fair Value Gap (FVG)

External Range Liquidity (ERL) is defined by Highs and Lows

When External Range Liquidity is taken a FVG (IRL) becomes the next draw

When a FVG is tagged an old low or old high (ERL) becomes the next draw





PRICE ONLY DOES TWO THINGS

Draw To Old Highs And Lows

Rebalance An Imbalance



TIMEFRAME ALIGNMENT

Monthly IRL & ERL → Daily MMXM
IRL

Weekly IRL & ERL → H4 MMXM

Daily IRL & ERL → H1 MMXM

H4 IRL & ERL → M15 MMXM

H1 IRL & ERL → M5 MMXM

BONUSES

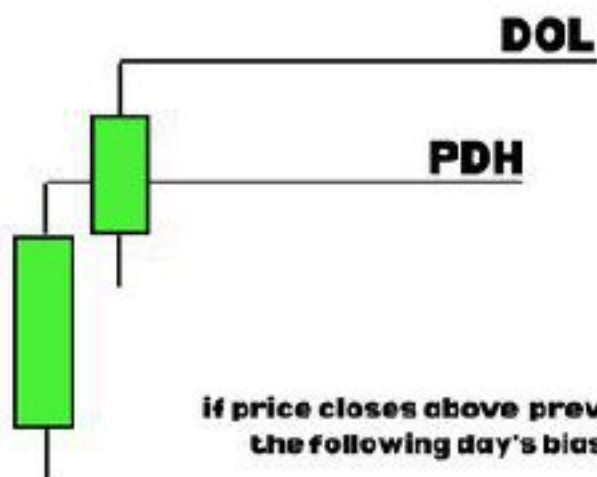
Previous Daily Candle Confirmation

Daily OHLC/OLHC/P03

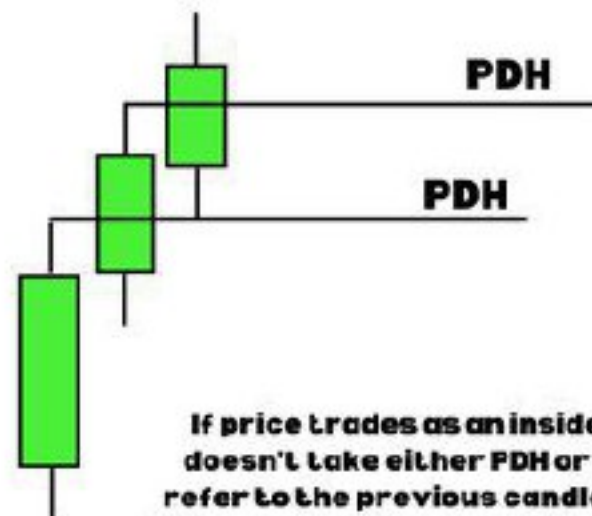
Higher Timeframe SMT



PREVIOUS DAILY CANDLE CONFIRMATION

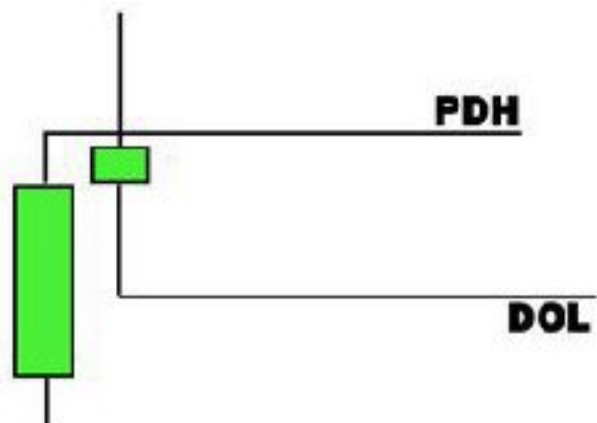


if price closes above previous day high (PDH),
the following day's bias will target PDH;

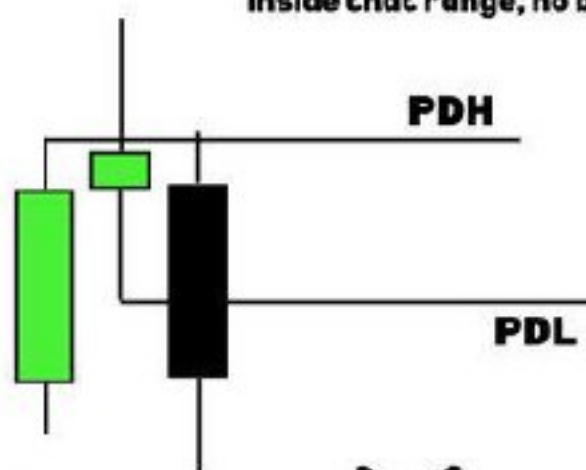


If price trades as an inside bar that
doesn't take either PDH or PDL, it will
refer to the previous candle for bias. If
the previous day closed above its open,

it will target PDH and vice versa. If
price trades as an outside bar that
takes both PDH and PDL, but closes
inside that range, no bias is assigned.

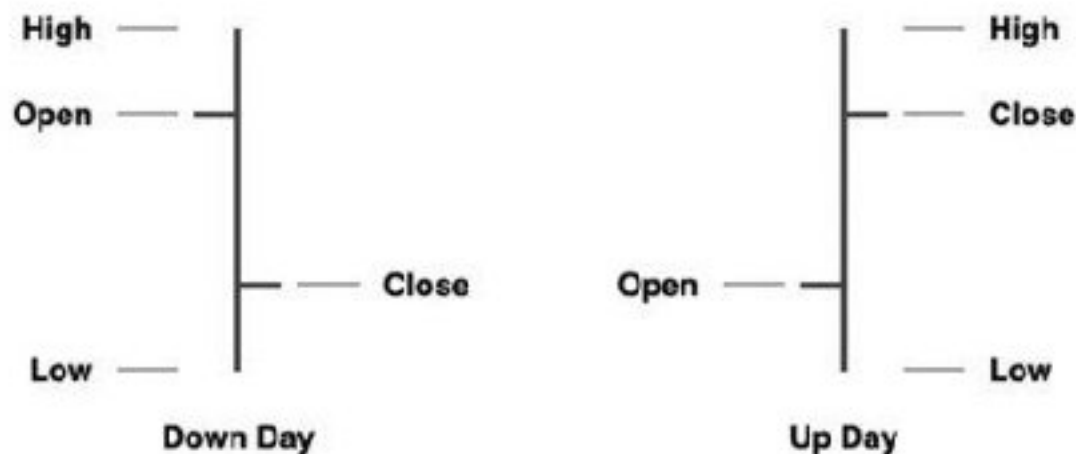


if price trades above its PDH but closes back below it,
the following day's bias will target previous day low (PDL).



DAILY OHLC/OLHC/P03

When You Have an Expectation of the Bias, You Can Use Daily OLHC for Confirmation



**If You Are Expecting Higher Prices (Bullish Bias):
Look M15 CSD below Daily opening price for discount entries**

**If you are expecting lower prices (bearish bias):
Look M15 CSD above the Daily opening price.**



HIGHER TIMEFRAME SMT

Higher time frame SMT:

Daily high/low SMT

Weekly high/low SMT

Monthly high/low SMT

Important liquidity pools SMT are the most powerful signs of reversal.



TIPS

When you're not clear in your bias, stay away from the market.

**Understanding the daily bias is only half of the work;
entries are another thing.**

**It doesn't matter if you have the right bias for the day, you can still face losses.
So, always stick with your trading plan.**

Good luck with your trading!